

investing their hard-earned money. Very few are actually thinking of investing in either a new company or a new product. As aptly pointed out by Sunil Bhatnagar, director, Regnant, "For cost-cutting and better management now mergers and acquisitions are in vogue, but at Regnant we may opt for acquisitions as late as 2010 if there arises a need." He is further supported by the survey results, where 95 per cent of the respondents have said that they are looking to increase the market share of existing products, while 75 per cent have planned to enter new markets with existing products.

Supply chain gains importance

Supply chain design has assumed more importance today. Dynamic



"In the automotive sector, MCUs are the drivers. Primary areas expected to drive future growth in automotive semiconductors include improving fuel efficiency and further reducing emissions, implementing mechatronics, the shift to microcomputer controls, increased personalisation features, such as navigation and communication systems, and increasing convenience and comfort features."

—Vivek Tyagi, Country Sales Manager, Freescale

admitted to use 'gut feel' (as opposed to appropriate technology) while considering to alter supply chain network. Be it building or closing a manufacturing unit, or deciding to centralise or regionalise a distribution network, the

sation refers to the optimisation of a firm's manufacturing/distribution network to obtain a low-cost yet efficient operations model. It essentially involves figuring out the right number of plants/distribution centres a firm should have, along with their appropriate locations, taking into account available capacities, seasonality, changing market scenario, production constraints, and the flow of products across the network. The objective driving a network optimisation is usually total cost minimisation or net revenue maximisation, keeping customer service at the desired level.

A network analysis usually provides concrete proof of needless costs arising due to less than truckload (LTL) shipments, increased fuel costs, over-stuffed warehouses, over-complicated supply chain network and congested ports. It offers a variety of possible sce-

"The products which have high market potential from test & measurement perspective are—oscilloscopes, logic analyzers, signal generators, arbitrary waveform monitors, spectrum analysers, digital multimeters, arbitrary waveform generators, specialised products for strategic segment, etc."

—Naresh Narasimhan, Country Marketing Manager, Tektronix



economic environment, increased road/port congestion, fluctuating fuel prices and complex inter-state tax regime will make the existing supply chain network redundant in a very short span of time. Network optimisation has assumed more importance in the Indian electronics industry today. At least 50 per cent of the survey respondents said they usually take a look at their supply chain design before planning to increase/decrease facilities. The positive responses, however, understandably came more from manufacturing firms as opposed to the R&D centres.

In spite of acknowledging the importance of network design, most firms

decision is usually arrived at using instinct—developed through years of experience.

Supply chain network optimi-



"Taking inspiration from the Nano, if we start building more products they are bound to be successful anywhere in the world. This is because the products designed in India, for India, are made keeping many constraints in mind while also considering the high demand. Such products will surely work well in any other part of the world too."

—Jayaram Pillai, MD-IndRA, NI